

Customer Shopping Behavior Analysis

1. Project Overview

This project analyzes customer shopping behavior using transactional data from 3,900 purchases across various product categories. The goal is to uncover insights into spending patterns, customer segments, product preferences, and subscription behavior to guide strategic business decisions.

2. Dataset Summary

- Rows: 3,900
- Columns: 18
- Key Features:
 - Customer demographics (Age, Gender, Location, Subscription Status)
 - Purchase details (Item Purchased, Category, Purchase Amount, Season, Size, Color)
 - Shopping behavior (Discount Applied, Promo Code Used, Previous Purchases, Frequency of Purchases, Review Rating, Shipping Type)
 - Missing Data: 37 values in Review Rating column

3. Exploratory Data Analysis using Python

We began with data preparation and cleaning in Python:

- **Data Loading:** Imported the dataset using **pandas**.
- **Initial Exploration:** Used **df.info()** to check structure and **df.describe()** for summary statistics.

```
<class 'pandas.DataFrame'>
RangeIndex: 3900 entries, 0 to 3899
Data columns (total 18 columns):
#   Column                                Non-Null Count  Dtype
---  -
0   Customer ID                          3900 non-null   int64
1   Age                                  3900 non-null   int64
2   Gender                              3900 non-null   str
3   Item Purchased                       3900 non-null   str
4   Category                             3900 non-null   str
5   Purchase Amount (USD)                3900 non-null   int64
6   Location                             3900 non-null   str
7   Size                                 3900 non-null   str
8   Color                                3900 non-null   str
9   Season                               3900 non-null   str
10  Review Rating                        3863 non-null   float64
11  Subscription Status                  3900 non-null   str
12  Shipping Type                       3900 non-null   str
13  Discount Applied                    3900 non-null   str
14  Promo Code Used                     3900 non-null   str
15  Previous Purchases                  3900 non-null   int64
16  Payment Method                      3900 non-null   str
17  Frequency of Purchases               3900 non-null   str
dtypes: float64(1), int64(4), str(13)
memory usage: 835.9 KB
```

	Customer ID	Age	Purchase Amount (USD)	Review Rating	Previous Purchases
count	3900.000000	3900.000000	3900.000000	3863.000000	3900.000000
mean	1950.500000	44.068462	59.764359	3.750065	25.351538
std	1125.977353	15.207589	23.685392	0.716983	14.447125
min	1.000000	18.000000	20.000000	2.500000	1.000000
25%	975.750000	31.000000	39.000000	3.100000	13.000000
50%	1950.500000	44.000000	60.000000	3.800000	25.000000
75%	2925.250000	57.000000	81.000000	4.400000	38.000000
max	3900.000000	70.000000	100.000000	5.000000	50.000000

- **Missing Data Handling:** Checked for null values and imputed missing values in the **Review Rating** column using the median rating of each product category.
- **Column Standardization:** Renamed columns to snake case for better readability and documentation.
- **Feature Engineering:**
 - Created age_group column by binning customer ages.
 - Created purchase_frequency_days column from purchase data.
- **Data Consistency Check:** Verified if discount_applied and promo_code_used were redundant; dropped promo_code_used.
- **Database Integration:** Connected Python script to PostgreSQL and loaded the cleaned **DataFrame** into the database for **SQL** analysis.

4. Data Analysis using SQL (Business Transactions)

We performed structured analysis in **PostgreSQL** to answer key business questions:

1. Revenue by Gender – Compared total revenue generated by male vs. female customers.

	gender text 🔒	total_revenue numeric 🔒
1	Female	75191
2	Male	157890

2. High-Spending Discount Users – Identified customers who used discounts but still spent above the average purchase amount.

	customer_id bigint	purchase_amount bigint
1	2	64
2	3	73
3	4	90
4	7	85
5	9	97
6	12	68
7	13	72

3. Top 5 Products by Rating – Found products with the highest average review ratings.

	item_purchased text	avg_review_rating numeric
1	Gloves	3.86
2	Sandals	3.84
3	Boots	3.82
4	Hat	3.80
5	Skirt	3.78

4. Shipping Type Comparison – Compared average purchase amounts between Standard and Express shipping.

	shipping_type text	avg_purchase_amount numeric
1	Standard	58.46
2	Express	60.48

5. Subscribers vs. Non-Subscribers – Compared average spend and total revenue across subscription status.

	subscription_status text	total_customers bigint	avg_spend numeric	total_revenue numeric
1	Non-subscriber	2847	59.87	170436.00
2	Subscriber	1053	59.49	62645.00

6. Discount-Dependent Products – Identified 5 products with the highest percentage of discounted purchases.

	item_purchased text	percentage_of_purchases numeric
1	Hat	50.00
2	Sneakers	49.66
3	Coat	49.07
4	Sweater	48.17
5	Pants	47.37

7. Customer Segmentation – Classified customers into New, Returning, and Loyal segments based on purchase history.

	customer_type text	total_customer bigint
1	Loyal	3116
2	New	83
3	Returning	701

8. Top 3 Products per Category – Listed the most purchased products within each category.

	category text	item_purchased text	total_purchase bigint	item_rank bigint
1	Accessories	Jewelry	171	1
2	Accessories	Sunglasses	161	2
3	Accessories	Belt	161	3
4	Clothing	Blouse	171	1
5	Clothing	Pants	171	2
6	Clothing	Shirt	169	3
7	Footwear	Sandals	160	1

9. Repeat Buyers & Subscriptions – Checked whether customers with >5 purchases are more likely to subscribe.

	subscription_status text	repeat_buyers bigint
1	No	2518
2	Yes	958

10. Revenue by Age Group – Calculated total revenue contribution of each age group.

	age_group text	revenue numeric
1	Young-Adult	62143
2	Middle-aged	59197
3	Adult	55978
4	Senior	55763

5. Dashboard in Power BI

Finally, we built an interactive dashboard in **Power BI** to present insights visually.



6. Business Recommendations

- **Boost Subscriptions** – Promote exclusive benefits for subscribers.
- **Customer Loyalty Programs** – Reward repeat buyers to move them into the “Loyal” segment.
- **Review Discount Policy** – Balance sales boosts with margin control.
- **Product Positioning** – Highlight top-rated and best-selling products in campaigns.
- **Targeted Marketing** – Focus efforts on high-revenue age groups and express-shipping users.